

A Blueprint for India's Growth

India's growth story continues to captivate, driven by resilient economic trends and evolving opportunities across key sectors

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AT A TIME of significant geopolitical uncertainties, the India growth story has proven remarkably resilient. The world's fifth-largest economy is well-positioned to remain the fastest-growing major economy, supported by its diversified and cost-competitive industrial base, robust domestic consumption, and thriving start-up ecosystem.

At Temasek, we recognised India's long-term potential early on. This year marks 20 years of active investment, with a total portfolio exposure of \$37 billion. We expect to add up to an additional \$10 billion over the next three years if we identify the right opportunities.

As we sought to grow our portfolio based on emerging trends, we began exploring economies in Asia beyond Singapore. India was among the markets entering a phase of rapid growth, driven by its expanding middle-income population. The country had implemented economic reforms in the early 1990s to boost its competitiveness and joined the World Trade Organization. While it was still early, we



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were ready to take a long-term view.

In 2004, we established our Mumbai office—Temasek's first active investment office outside Singapore. We were optimistic as India benefitted from strong macroeconomic trends, secular growth, and improved governance. We identified opportunities in sectors that mirrored the growing economy, such as banking, telecommunications, and automobiles, as well as companies leveraging India's globally competitive strengths in biopharma, healthcare, and IT.

The following decade saw digital transformation become a key catalyst, complementing economic reforms and laying the groundwork for innovation. We expanded our early-stage and growth portfolio, investing in tech-enabled start-ups aligned with consumption themes. Today, companies like Zomato and Policybazaar, with whom we were fortunate to partner at their early stages, have grown into market leaders.

Looking ahead, we believe India's growth will be driven by four structural trends that will shape future tailwinds and persist through economic cycles.

Digitisation and sustainable living, for example, are megatrends with far-reaching impacts across sectors and business models. Similarly, the future of consumption and longer lifespans highlight shifts in India's consumption patterns and its rising